

PRESS RELEASE

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On the Refinancing Rate as of December 22, 2015

The CBA Board Meeting of December 22, 2015 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vaghtang Abrahamyan.

The Board Meeting opened with presentation of Situation Report as of December 22, 2015. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.6% inflation in November of 2015 due totally to increased prices of food products (with 0.7 pp contribution to headline inflation). The main price increases were reported in groups “Vegetable and potato” and “Egg”, by 27.5% and 2.8%, respectively (with their 1.54 and 0.04 pp contribution to headline inflation). It is noteworthy that November saw a non-typical decline in fruit prices, by 5.1%. This has reduced the month’s inflation rate by about 0.2 pp. There were also price decreases in groups “Meat products” and “Petrol” during the month, by 1.2% and 2.1%, respectively. As a result, the 12-month inflation rate continued reducing to 1.2% at the end of November and the inflation net of seasonal products amounted nearly to 3.1%.

In the period January-November 2015, the economic activity indicator has grown to 2.9% due largely to 11.6% and 4.6% growths registered in agriculture and industry. Unlike supply, domestic aggregate demand remains sluggish, reflecting private consumption and private investment still in a downward trend. Note that the impact of the 4th quarter’s fiscal policy on aggregate demand has been more expanding than projected: the fiscal impulse is an estimated 1.2 expansionary instead of 0.4.

According to January-November 2015 results, export (trade statistics: FOB) has decreased by 4.7% and import (trade statistics: CIF) by 26.2% in comparison with the same reference period last year. In the meanwhile, net inflow of non-commercial transfers by individuals via the banking system has reduced by 37.3% y/y.

The Board reflected on the developments in the financial market. In the period from November 11th to December 18th of 2015, interest rates followed mainly a downward path. In the timespan mentioned above, relative to the period from September 23rd to November 10th, average repo rate of the Central Bank has fallen by 0.55 pp to 9.9%, average monthly interbank repo rate dropped by 0.3 pp to 9.95 pp, whereas in the primary market average interest rate of treasury bills with up to 1-year of maturity rose by 0.2 pp to 12.2%.

In the domestic foreign exchange market in the period November 11th to December 18th, relative to September 23rd to November 10th, the Armenian dram exchange rate has depreciated against the U.S. dollar by 1.8% to AMD 482.8 but appreciated versus the Euro and the Russian ruble by 1.8% and 3.8% to AMD 519.2 and AMD 7.2, respectively.

In the 4th quarter of 2015, global economic growth rates kept on recovering sluggishly and deflationary patterns were further observable in basic commodity and food product markets of the world. The FAO's Food Price Index of December 3, 2015 came out with 1.6% drop in November against the previous month's index (with as much as 18.0% reduction compared to the same period of the previous year). According to the U.S. Department of Agriculture data, the export price of Hard Red Wheat will drop by 9.8% q/q (with 26.9% decrease y/y). However, the New York Board-Intercontinental Exchange (NYB-ICE) expects some 25.5% q/q rise in Rough Sugar price (with 2.0% decrease y/y).

According to the Central Bank estimates, average price of "Brent" crude oil, as quoted at Intercontinental Exchange, will plunge by 5.6% in the fourth quarter against the previous quarter (with as much as 41.0% reduction y/y). At London Metal Exchange, the copper price will decrease by 6.3% q/q (with 25.6 percent decrease y/y).

Depreciation of the Euro versus the U.S. dollar was 1.5% in the fourth quarter of 2015 and 12.3% against the same period of the previous year.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

In external environment, slow global economic growth trends persisted and continued falling of prices was observable in commodity markets of the world. The Board estimates that these developments have contributed to the reducing of inflation, which will be maintained in the coming months as deflationary effects from the external sector spill over to the domestic prices.

In the period January-November 2015, relative to the same reference period last year, the economic activity indicator has grown to 2.9% mainly driven by growths reported in agriculture and mining industry. Despite an expanding influence of the 2015 fiscal policy, domestic demand persists at a low level. Low inflation has therefore diminished inflationary expectations, which, under the influence of weak domestic demand and external deflationary trends, will provide for a low inflation environment in the future. The Board believes that inflationary risks arisen from the previous year-end have been largely overcome, and sharp easing of monetary conditions in recent months and at present makes it possible to return to the normal situation that existed before November of 2014.

The Board estimates that inflation will remain low in the coming months; then, driven by the Central Bank's policy it will expand slowly and stabilize around the target in the forecast horizon.

The Board will look to further easing of monetary conditions as inflationary expectations are anchored and extra risks in external and domestic environment lack.

At the December 22, 2015 meeting, the Board of the CBA decided to slash the Refinancing Rate by 1.0 pp to 8.75%. The Lombard Repo Facility Rate and Deposit Facility Rate were set at 10.25% and 7.25%, respectively.

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